

EQUITY GROUP HOLDINGS PLC
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH SEPTEMBER, 2018



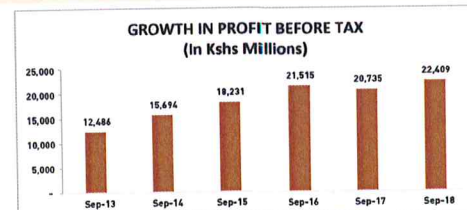
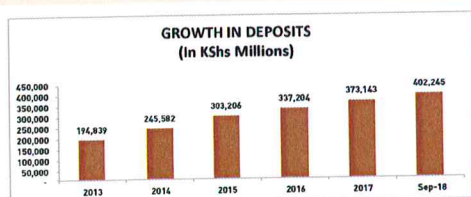
STATEMENT OF FINANCIAL POSITION AS AT	Equity Bank (Kenya) Limited					Equity Group Holdings Plc									
	BANK					COMPANY					GROUP				
	30th Sep 2017	31st Dec 2017	31st Mar 2018	30th June 2018	30th Sep 2018	30th Sep 2017	31st Dec 2017	31st Mar 2018	30th June 2018	30th Sep 2018	30th Sep 2017	31st Dec 2017	31st Mar 2018	30th June 2018	30th Sep 2018
	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'
A. ASSETS	(Un-Audited)	(Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)
1. Cash (both local & foreign)	7,217,202	8,817,113	8,527,912	7,681,677	8,742,546	2,561	8,318,168	8,343,784	842,803	544,199	17,180,190	11,039,112	18,600,402	20,034,426	20,192,156
2. Balances due from Central Bank of Kenya	15,098,754	15,635,640	12,149,433	19,747,145	15,163,802	-	-	-	-	-	15,098,754	15,635,640	12,149,433	19,747,145	15,163,802
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4. Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. Investment securities:	118,609,224	115,449,191	138,943,824	148,718,742	147,026,169	-	-	-	-	-	127,744,266	128,001,775	150,181,142	158,940,490	158,574,780
a) Held to maturity:	18,982,417	20,350,034	17,454,621	18,305,886	17,794,544	-	-	-	-	-	21,920,287	20,699,626	18,312,256	20,486,739	22,356,532
i. Kenya Government securities	16,779,426	18,347,044	15,451,631	16,302,896	15,933,726	-	-	-	-	-	16,779,426	18,347,044	15,451,631	16,302,896	15,933,726
b. Other securities	2,202,991	2,002,991	2,002,991	2,002,991	1,860,818	-	-	-	-	-	5,140,861	2,352,582	2,860,626	4,183,843	6,422,805
b) Available for sale:	99,626,807	95,099,157	121,489,203	130,412,856	129,231,625	-	-	-	-	-	105,823,977	107,302,149	131,868,885	138,453,752	136,218,248
i. Kenya Government securities	92,821,681	88,132,192	106,906,526	108,451,642	109,407,595	-	-	-	-	-	92,821,681	88,132,192	106,906,526	108,451,642	109,407,595
b. Other securities	6,805,126	6,966,965	14,582,677	21,961,194	19,824,030	-	-	-	-	-	13,002,296	19,169,957	24,962,359	30,002,090	26,810,654
6. Deposits and balances due from local banking institutions	516,000	9,508,240	989,800	988,820	7,947,550	-	-	-	-	-	40,776,552	43,437,650	31,418,931	29,965,899	31,450,374
7. Deposits and balances due from banking institutions abroad	-	-	-	-	-	-	-	-	-	-	1,719,882	9,508,240	5,609,181	4,576,693	11,630,634
8. Tax recoverable	206,157,734	214,484,733	206,862,953	207,144,231	231,639,483	22,080	-	-	32,818	52,432	1,224,905	2,193,237	130,369	119,973	65,390
9. Loans and advances to customers (net)	1,036,082	2,045,636	54,744	-	-	-	-	-	-	-	265,449,149	279,091,669	271,075,482	275,036,697	288,381,425
10. Balances due from group companies	3,631,643	4,121,975	3,478,167	2,470,573	3,124,230	282,544	312,764	429,735	195,482	197,794	547,602	449,019	-	-	-
11. Investments in associates	-	-	-	-	-	65,760,617	65,760,617	65,760,617	65,760,617	65,760,617	-	-	-	-	-
12. Investments in subsidiary companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14. Investment properties	8,494	8,494	8,494	-	-	-	-	-	-	-	8,494	8,494	8,494	-	-
15. Property and equipment	6,207,601	6,004,819	5,527,805	5,265,171	5,491,856	-	-	-	-	-	12,597,144	10,865,247	10,799,446	10,488,727	10,780,829
16. Prepaid lease rentals	3,710	3,698	3,487	12,169	12,157	-	-	-	-	-	95,182	554,718	138,566	106,438	81,447
17. Intangible assets	6,264,547	6,366,242	6,333,477	6,423,587	6,491,010	-	-	-	-	-	6,936,156	6,996,028	6,921,863	7,006,827	7,070,478
18. Deferred tax asset	2,938,970	2,413,059	2,413,059	2,413,059	2,413,059	-	-	-	-	-	3,330,598	2,706,182	2,690,008	2,830,154	2,790,451
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20. Other assets	16,448,859	6,967,136	9,069,845	6,804,369	7,399,730	1,074	-	-	36,187	326,810	25,519,303	13,978,734	18,058,423	13,162,773	14,204,121
21. TOTAL ASSETS	405,535,402	406,402,486	402,181,727	410,372,609	424,255,993	66,068,875	74,391,550	74,534,135	66,867,907	66,881,853	518,248,176	524,465,745	527,780,738	542,016,263	560,385,886
B. LIABILITIES															
22. Balances due to Central Bank of Kenya	4,000,000	-	-	-	-	-	-	-	-	-	4,000,000	-	-	-	-
23. Customer deposits	288,978,519	298,702,851	301,623,121	303,505,353	309,946,702	-	-	-	-	-	368,801,489	373,143,247	382,422,176	393,685,732	402,245,441
24. Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
25. Deposits and balances due to foreign banking institutions	878,494	-	1,194,848	2,108,550	8,476,847	-	-	-	-	-	2,454,248	1,735,822	3,600,896	3,514,720	9,922,261
26. Other money market deposits	39,630,430	39,494,907	37,690,150	36,845,148	32,878,119	-	-	-	-	-	45,707,233	46,137,632	45,309,531	49,137,286	46,326,906
27. Borrowed funds	-	199,394	259,760	149,388	136,758	2,430,860	2,467,097	2,700,087	2,727,763	2,745,554	-	-	101,114	69,879	18,569
28. Balances due to group companies	-	-	-	201,264	150,319	-	3,304	36,280	-	-	355,210	411,712	581,678	623,321	612,153
29. Tax payable	-	-	-	-	-	-	7,547,350	64,467	-	-	-	-	7,547,350	64,467	57,000
30. Dividends payable	-	-	-	-	-	-	-	-	-	-	147,971	64,374	62,463	61,717	61,727
31. Deferred tax liability	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
32. Retirement benefit liability	5,734,709	6,098,943	2,885,453	5,331,693	6,652,919	748	258,847	258,846	82,890	82,890	6,647,761	9,830,022	6,032,478	8,547,449	10,471,216
33. Other liabilities	339,222,152	344,496,096	343,653,331	348,141,497	358,261,664	2,631,609	2,927,248	10,542,562	2,875,119	2,885,443	428,113,893	431,322,809	445,657,886	455,704,771	467,714,822
34. TOTAL LIABILITIES															
C. SHAREHOLDERS' FUNDS															
35. Paid up / assigned capital	30,000,000	30,000,000	30,000,000	30,000,000	30,000,000	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837
36. Share premium / (discount)	9,644,132	9,644,132	9,644,132	9,644,132	9,644,132	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607
37. Revaluation reserve	770,254	441,384	758,103	570,804	343,608	-	-	-	-	-	5,985,072	17,255,865	16,449,641	17,978,431	18,437,611
38. Retained earnings / accumulated losses	23,700,188	19,233,437	17,606,162	21,696,177	25,706,589	45,487,822	45,965,507	46,042,129	46,043,343	46,046,966	75,154,080	71,535,063	69,848,854	75,522,803	80,308,117
39. Statutory loan loss reserve	1,878,677	2,267,428	-	-	-	-	-	-	-	-	2,280,654	2,617,569	-	-	-
40. Other reserves	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
41. Proposed dividends	-	-	-	-	-	-	7,547,350	-	-	-	-	-	-	-	-
42. Non controlling interests	-	-	-	-	-	-	-	-	-	-	735,177	749,375	774,203	817,862	851,145
43. TOTAL SHAREHOLDERS' FUNDS	66,313,250	61,906,391	58,528,396	62,231,112	66,014,329	63,437,266	71,462,301	63,991,573	63,992,788	63,996,410	90,134,283	93,142,935	82,122,852	86,311,472	90,671,044
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	405,535,402	406,402,486	402,181,727	410,372,609	424,255,993	66,068,875	74,391,550	74,534,135	66,867,907	66,881,853	518,248,176	524,465,745	527,780,738	542,016,263	560,385,886
STATEMENT OF COMPREHENSIVE INCOME															
1. INTEREST INCOME	18,304,284	24,976,130	6,166,360	11,896,701	17,845,675	-	-	-	-	-	25,047,836	33,880,635	8,762,894	17,109,575	25,764,218
1.1 Loans and advances	8,996,692	12,214,987	3,396,459	7,316,156	11,297,444	-	-	-	-	-	9,779,782	13,393,880	3,704,968	7,882,887	12,132,479
1.2 Government securities	480,308	505,429	83,905	91,593	122,438	229,458	229,458	138,521	191,968	202,365	440,472	916,204	180,767	325,135	507,934
1.3 Deposits and placements with banking institutions	71,381	89,115	19,922	38,598	56,207	-	-	-	-	-	166,597	219,752	19,922	38,598	60,214
1.4 Other interest income	27,852,664	37,795,643	9,646,846	19,333,049	29,321,966	229,458	229,458	138,521	191,968	202,365	35,414,687	48,410,471	12,668,551	25,356,195	38,464,345
1.5 Total interest income															
2. INTEREST EXPENSES	4,831,740	6,488,314	1,729,686	3,374,093	5,101,792	-	-	-	-	-	4,649,106	8,075,892	2,360,981	4,484,836	7,040,282
2.1 Customer deposits	51,536	78,808	7,658	24,930	11,745	-	-	-	-	-	17,260	346,274	75,629	197,281	367,816
2.2 Deposits and placements from banking institutions	1,480,511	1,966,787	475,015	1,001,773	1,552,651	-	-	-	-	-	1,278,443	2,418,697	414,350	891,086	1,581,587
2.3 Other interest expense	6,363,787	8,633,911	2,212,359	4,600,795	6,704,208	-	-	-	-	-	7,923,810	10,840,862	2,850,960	5,733,202	8,989,484
2.4 Total interest expenses	21,486,877	29,261,752	7,454,487	14,932,253	22,615,758	229,458	229,458	138,521	191,968	202,365	27,490,878	37,567,609	9,817,591	19,582,992	27,474,661
3. NET INTEREST INCOME															
4. NON-INTEREST INCOME															
4.1 Fees and commissions income on loans & advances	3,889,783	5,251,307	1,294,085	2,426,695	3,693,942	-	-	-	-	-	4,348,812	5,914,035	1,476,157	2,784,200	4,275,277
4.2 Other fees and commissions income	7,187,023	9,432,345	2,255,531	4,312,284	6,323,172	-	-	-	-	-	9,635,501	13,365,790	3,177,040	6,268,875	9,374,127
4.3 Foreign exchange trading income	1,702,542	2,194,774	429,072	1,002,259	1,501,516	-	-	-	-	-	2,560,887	4,110,964	669,854	1,546,533	2,370,

EQUITY GROUP HOLDINGS PLC

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH SEPTEMBER, 2018

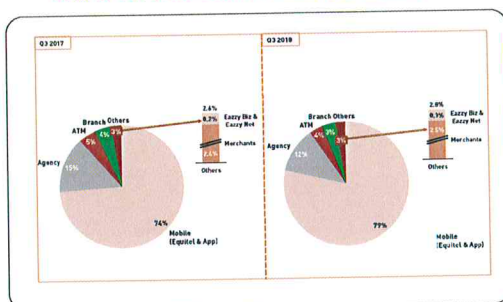


OTHER DISCLOSURES	Equity Bank (Kenya) Limited					Equity Group Holdings Plc									
	BANK					COMPANY					GROUP				
	30th Sep 2017	31st Dec 2017	31st Mar 2018	30th June 2018	30th Sep 2018	30th Sep 2017	31st Dec 2017	31st Mar 2018	30th June 2018	30th Sep 2018	30th Sep 2017	31st Dec 2017	31st Mar 2018	30th June 2018	30th Sep 2018
	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'	Shs. '000'
	(Un-Audited)	(Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)	(Audited)	(Un-Audited)	(Un-Audited)	(Un-Audited)
1) NON PERFORMING LOANS AND ADVANCES															
a) Gross non performing loans and advances	16,072,222	14,757,622	14,548,854	20,221,983	20,793,997	-	-	-	-	-	20,674,488	17,984,680	18,109,172	24,450,171	26,481,914
b) Less interest in suspense	2,376,521	2,218,181	2,297,416	2,720,186	2,299,836	-	-	-	-	-	2,664,879	2,542,267	2,596,101	3,063,863	2,723,511
c) Total non-performing loans and advances (a-b)	13,695,701	12,539,442	12,251,438	17,501,797	18,494,161	-	-	-	-	-	18,009,609	15,442,413	15,513,071	21,386,307	23,758,404
d) Less loan loss provision	5,305,708	4,974,773	4,795,621	8,076,435	5,894,768	-	-	-	-	-	7,302,798	6,509,901	6,198,682	9,608,862	7,577,299
e) Net non-performing loans (c-d)	8,389,993	7,564,668	7,455,817	9,405,361	12,599,393	-	-	-	-	-	10,707,012	8,932,512	9,314,390	11,777,445	16,181,105
f) Discounted value of securities	7,590,444	7,544,668	7,455,817	9,137,691	10,185,237	-	-	-	-	-	9,870,468	8,932,512	9,314,390	11,549,812	13,711,288
g) Net NPLs exposure (e-f)	799,550	-	-	267,671	2,414,155	-	-	-	-	-	836,543	-	-	227,633	2,469,817
2) INSIDER LOANS AND ADVANCES															
a) Directors, shareholders and associates	2,764,315	3,199,639	3,512,692	3,005,876	3,117,384	-	-	-	-	-	2,764,315	3,243,982	3,572,021	3,142,280	3,311,354
b) Employees	4,559,947	4,568,199	4,618,257	4,789,612	4,914,376	-	-	-	-	-	5,694,233	5,662,202	5,726,414	5,991,924	6,137,212
c) Total insider loans and advances and other facilities	7,324,262	7,767,838	8,130,949	7,795,488	8,031,760	-	-	-	-	-	8,458,548	8,906,184	9,298,435	9,134,203	9,448,566
3) OFF BALANCE SHEET ITEMS															
a) Letter of credit, guarantees and acceptances	34,524,191	37,189,926	41,844,595	53,892,320	50,977,204	-	-	-	-	-	42,498,563	41,300,140	45,391,516	58,925,478	57,050,862
b) Forwards, swaps and options	16,497,596	16,308,703	19,223,894	21,222,019	15,098,863	-	-	-	-	-	18,637,860	17,136,211	20,739,197	22,106,352	15,189,763
c) Other contingent liabilities	-	-	-	-	-	-	-	-	-	-	61,136,423	58,436,351	66,130,714	81,031,830	72,240,625
d) Total contingent liabilities	51,021,787	53,498,629	61,068,489	75,114,339	66,066,067	-	-	-	-	-	122,272,846	116,572,602	132,261,427	162,132,660	142,481,250
4) CAPITAL STRENGTH															
a) Core capital	57,456,285	59,197,568	55,226,820	54,858,769	56,863,975	-	-	-	-	-	85,784,221	87,572,831	84,845,929	82,096,531	84,511,610
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	-	-	-	-	-	4,173,124	4,173,124	4,173,124	4,173,124	4,173,124
c) Excess / (deficiency)	56,456,285	58,197,568	54,226,820	53,858,769	55,863,975	-	-	-	-	-	81,611,097	83,399,708	80,672,806	77,923,408	80,338,487
d) Supplementary capital	2,611,388	2,704,894	316,487	204,229	91,053	-	-	-	-	-	3,013,365	3,055,035	316,487	204,229	91,053
e) Total capital (a+d)	60,067,673	61,902,462	55,543,307	55,062,997	56,955,028	-	-	-	-	-	88,797,586	90,627,866	85,162,417	82,300,760	84,602,663
f) Total risk weighted assets	371,663,458	374,209,300	383,326,845	374,495,224	385,169,973	-	-	-	-	-	433,767,768	444,102,519	454,511,423	447,791,699	470,316,459
Ratios															
g) Core capital / total deposit liabilities	19.9%	19.8%	18.3%	18.1%	18.3%	-	-	-	-	-	23.3%	23.5%	22.2%	20.9%	21.0%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%	8.0%	-	-	-	-	-	8.0%	8.0%	8.0%	8.0%	8.0%
i) Excess / (deficiency) (g-h)	11.9%	11.8%	10.3%	10.1%	10.3%	-	-	-	-	-	15.3%	15.5%	14.2%	12.9%	13.0%
j) Core capital / total risk weighted assets	15.5%	15.8%	14.4%	14.6%	14.8%	-	-	-	-	-	19.8%	19.7%	18.7%	18.3%	18.0%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%	10.5%	-	-	-	-	-	10.5%	10.5%	10.5%	10.5%	10.5%
l) Excess / (deficiency) (j-k)	5.0%	5.3%	3.9%	4.1%	4.3%	-	-	-	-	-	9.3%	9.2%	8.2%	7.8%	7.5%
m) Total capital / total risk weighted assets	16.2%	16.5%	14.5%	14.7%	14.8%	-	-	-	-	-	20.5%	20.4%	18.7%	18.4%	18.0%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%	14.5%	-	-	-	-	-	14.5%	14.5%	14.5%	14.5%	14.5%
o) Excess / (deficiency) (m-n)	1.7%	2.0%	0.0%	0.2%	0.3%	-	-	-	-	-	6.0%	5.9%	4.2%	3.9%	3.5%
[p] Adjusted core capital / total deposit liabilities*	-	-	20.4%	19.1%	19.4%	-	-	-	-	-	-	-	24.0%	21.8%	21.9%
[q] Adjusted core capital / total risk weighted assets*	-	-	16.1%	15.5%	15.6%	-	-	-	-	-	-	-	20.2%	19.1%	18.8%
[r] Adjusted total capital / total risk weighted assets*	-	-	16.2%	15.5%	15.6%	-	-	-	-	-	-	-	20.3%	19.2%	18.8%
5) LIQUIDITY															
a) Liquidity ratio	54.2%	54.8%	56.0%	59.4%	57.7%	-	-	-	-	-	52.1%	54.2%	55.2%	57.1%	55.0%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%	20.0%	-	-	-	-	-	20.0%	20.0%	20.0%	20.0%	20.0%
c) Excess / (deficiency) (a-b)	34.2%	34.8%	36.0%	39.4%	37.7%	-	-	-	-	-	32.1%	34.2%	35.2%	37.1%	35.0%



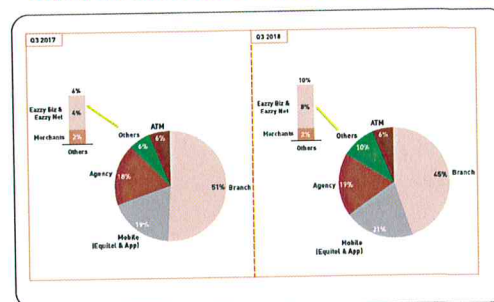
Focus Area 5: Fintech innovation and digitization

97% of our transactions outside the branch



Focus Area 5: Fintech innovation and digitization

55% of our transactions value outside the branch



*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of financial statements, statutory and qualitative disclosures can be accessed on the Institution's website www.equitybankgroup.com.

They may also be accessed at the institution's head office located at Equity Centre, 9th floor, Hospital Road Upper Hill. Equity Bank (Kenya) Limited and Equity Group Holdings Plc are regulated by the Central Bank of Kenya.

Dr. James Njuguna Mwangi
Group CEO & Managing Director

Mary Wangari Wamae
Director